

BEFORE THE OFFICE OF THE UNITED STATES TRADE REPRESENTATIVE

Comments of Joseph R. Profaci, Executive Director, North American Olive Oil Association in Response to Notice of Initiation of Section 301 Investigations and Request for Comments

Re: Section 301 Investigation of Acts, Policies, and Practices of Various Economies Related to the Failure to Impose and Effectively Enforce a Prohibition on the Importation of Goods Produced with Forced Labor

Docket Nos. USTR–2026–0133 and USTR–2026–0134.

I. Identification of Commenter and Interest in the Proceeding

My name is Joseph R. Profaci, and I submit these comments in my capacity as Executive Director of the North American Olive Oil Association (“NAOOA”). NAOOA is an organization of *65 producers, importers, and purveyors (including retailers and distributors)* whose sales collectively account for *over 70% of olive oil consumed in the United States*.

These comments are submitted in response to the Office of the United States Trade Representative’s (USTR) request for public comment in connection with the referenced Section 301 investigations initiated on March 1w, 2026 and announced in the Federal Register on March 17, 2026.¹ The Federal Register notice explains that USTR opened dockets for written comments and hearing requests, with written comments due April 15, 2026.²

Although the investigations described in the notice focus on the failure to impose and effectively enforce a prohibition on the Importation of Goods produced with forced labor, USTR has requested comments and will be building an evidentiary record to inform any potential action. To the extent USTR will evaluate potential tariff actions under this investigation, it is important that the agency avoid product coverage that contradicts controlling U.S. government policy and imposes unnecessary costs on U.S. consumers without advancing any remedial objective.

II. Executive Summary

Should the USTR find a reasonable basis for imposing tariffs as a result of the investigation, olive oil should be excluded because tariffs on olive oil are inconsistent with U.S. government policy for *two independent reasons*:

¹ Office of the United States Trade Representative, *Initiation of Section 301 Investigations: Acts, Policies, and Practices of Certain Economies Relating to Structural Excess Capacity and Production in Manufacturing Sectors*, 91 Fed. Reg. 12886 (Mar. 17, 2026), available at [Federal Register](#) (accessed Apr. 12, 2026).

² Id.

- **Olive oil constitutes an unavailable natural resource in the United States due to structural climate and land constraints.** The binding constraint on U.S. production capacity is climate and land suitability, not investment or demand. According to USDA’s Economic Research Service (“USDA ERS”), *U.S. production represents less than 2% of U.S. olive oil consumption*, with imports meeting the balance of domestic demand.³ This is an authoritative, federal quantification of unavailability.
- **The imposition of tariffs on olive oil directly conflicts with established U.S. public health policy, which affirmatively encourages greater olive oil consumption as part of healthier dietary patterns.** The Dietary Guidelines for Americans (2025-2030) (“DGAs”) expressly instruct consumers to prioritize healthy fats “such as olive oil.”⁴ Further, FDA’s recent regulatory update that expressly made olive oil eligible for “healthy” nutrient content claims similarly encourages consumers to consume more olive oil.⁵ Both the DGA and the healthy regulation update are also consistent with the U.S. policy expressed in the Healthy People 2030 initiative that incorporates federal dietary guidance into national chronic-disease prevention objectives.⁶

These two facts—*structural supply constraints* and *policy-driven demand signals*—mean that tariffs on olive oil will not support increased domestic production. Instead, they will function as a *tax on U.S. consumers seeking to follow federal dietary guidance and drive up the cost difference between olive oil and less healthy food oils*.

III. Tariffs on Olive Oil Would Serve No Remedial Purpose and Be Inconsistent with U.S. Health Policy Strategy.

A. Olive Oil Is an Unavailable Natural Resource in the United States

Section 301 of the Trade Act of 1974 is intended to address unfair foreign trade practices and to induce changes in behavior that harm U.S. commerce. Where tariffs cannot realistically promote

³ U.S. Dep’t of Agric., Econ. Research Serv., *Rising popularity of olive oil in the United States has boosted consumption over past 30 years* (Dec. 12, 2024) (stating U.S. production represents less than 2% of U.S. olive oil consumption), available at [USDA ERS](#) (accessed Apr. 12, 2026).

⁴ U.S. Dep’t of Health & Human Servs. & U.S. Dep’t of Agric., *Dietary Guidelines for Americans, 2025–2030* (2026) (“When cooking with or adding fats to meals, prioritize oils with essential fatty acids, such as olive oil.”), available at [DGA PDF](#) (accessed Apr. 12, 2026).

⁵ U.S. Food & Drug Admin., *Use of the “Healthy” Claim on Food Labeling* (updated Dec. 19, 2024), available at [FDA](#) (accessed Apr. 12, 2026).

⁶ U.S. Dep’t of Health & Human Servs., Office of Disease Prevention & Health Promotion, *Dietary Guidelines for Americans, 2025–2030 – Healthy People 2030 Resource* (last reviewed 2026), available at [ODPHP](#) (accessed Apr. 12, 2026).

domestic production or remedy a trade distortion, their application does not advance Section 301's remedial purpose.

The Administration has treated products not produced domestically in significant quantities—such as coffee, cocoa and other goods that grow in climates uncommon in the U.S.—as examples of “unavailable natural resources or unavailable at sufficient scale to satisfy domestic demand in the United States” for which tariffs may be set at zero in trade arrangements.⁷ Although it has not yet been recognized as such, olive oil fits this framework.

1. USDA ERS Confirms Domestic Production Is De Minimis Relative to Consumption

USDA ERS reports that *U.S. olive oil production accounts for less than 2 percent of U.S. consumption*, with imports supplying the balance of domestic demand.⁸ This figure represents the most authoritative federal assessment and should be treated as controlling for purposes of Section 301 analysis.

2. The Structural Basis for Unavailability Is Climate and Land Suitability

Olive cultivation depends on particular climatic and agronomic conditions (including avoidance of severe cold and excess water in roots). Those conditions exist at commercial scale in very few U.S. regions, and that is why U.S. olive cultivation is geographically concentrated in California, which accounts for 99% of production.

This constraint is not theoretical. It explains why domestic production has not expanded meaningfully even across periods of rising demand and high prices: the limiting factor is not the absence of price incentives but the scarcity of suitable land and climate conditions at scale.

a. The Lack of Suitable Land and Natural Resources is the Primary Constraint on U.S. Olive Oil Production Growth

The failure of domestic production to expand reflects *structural agro-climatic limitations*, not insufficient investment or trade exposure. Olive trees require mild winters, hot dry summers,

⁷ Marcelo Teixeira, *Coffee and cocoa could be exempt from tariffs in trade deals, commerce secretary says*, Reuters (Jul. 29, 2025) (as republished), describing examples of unavailable natural resources including coffee/cocoa and tropical products such as mangoes and pineapples, available at [US News & World Report](#) (accessed Apr. 12, 2026).

⁸ See note 3, *supra*.

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well-drained soils, and limited frost risk—conditions that exist at commercial scale in only a small number of U.S. locations.

As explained by James Sayre, Assistant Professor of Cooperative Extension at the University of California, Davis, *U.S. olive acreage is overwhelmingly concentrated in California because its climate is “nearly uniquely suited” for olive cultivation*.⁹ Dr. Javier Fernandez-Salvador, former Executive Director of the UC Davis Olive Center, explains that there are “basically two things regarding a location that olives don’t like: cold, and excess water in the roots,” and that California’s geography and proximity to the ocean make it uniquely comparable to Mediterranean growing regions.¹⁰ Very few other U.S. locations can meet these requirements at commercial scale.

Indeed, in Texas, olive oil trees are referred to as a “Goldilocks” crop. While resilient, olive trees will thrive only in climates that are just right. Due to an unexpected frost in 2021, most of the Texas olive tree crop which was at one point over 1,500 acres, was expected to produce very little olive oil in 2025, compelling Texas olive oil companies to rely heavily on imports to meet demand for their products.¹¹

Thus, even in “nearly uniquely suited” California, production has been relatively stagnant since 2019: domestic supply has ranged between 7,000 and 12,000 metric tons annually from a steady 28,000 acres of mostly super high-density olive groves (USDA).

For the United States to replace olive oil from abroad, California would have to plant an impossible 1.4 million acres of new olive trees. That would vault olive oil into a tie with almonds for the most acreage of any single commodity in California (USDA 2024), which would amount to an extraordinary one in six acres under cultivation.

But due to land, water, and labor constraints in California, even increasing production to get to a mere 10% of consumption is all but out of reach. Land for new olive crops would need to repurpose existing acreage for other lucrative fruits, vegetables, and nuts. Complicating matters further, California may already be over-cropped: due to water shortages, it is estimated that [at](#)

⁹ Sean Timberlake, *California’s two olive oil giants to combine. How will it affect the industry?* (March 16, 2026), [The Sacramento Bee](#) (accessed April 12, 2026).

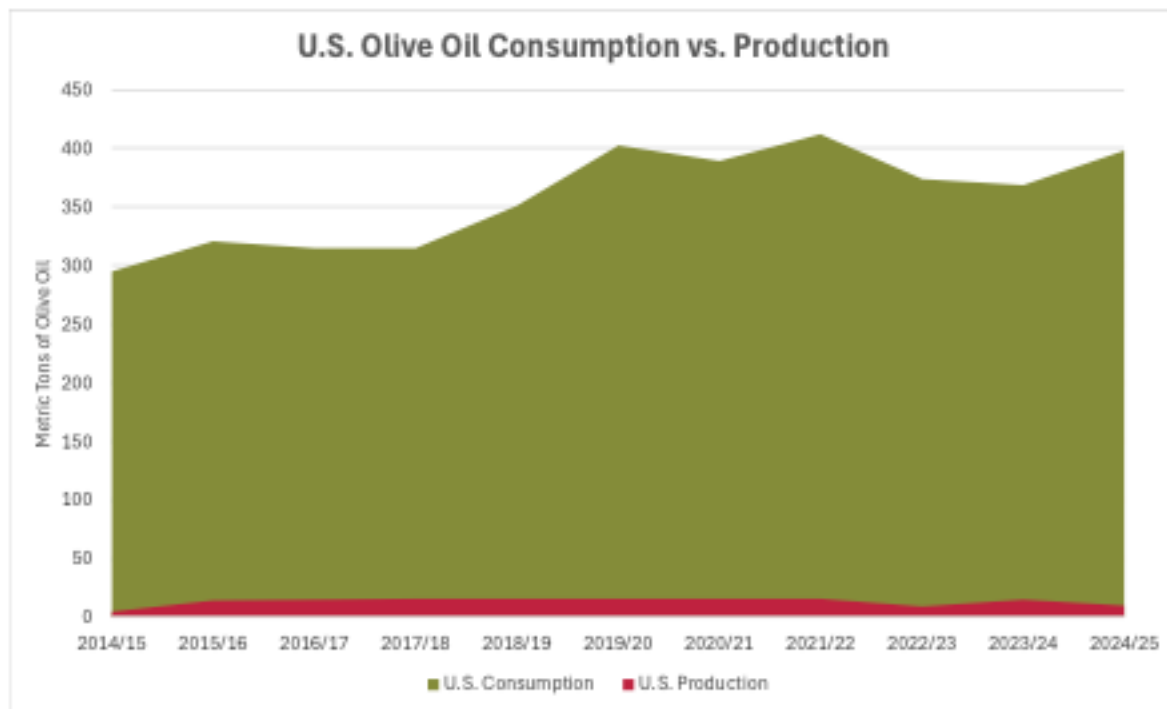
¹⁰ Holly Stephens, *Americans love olive oil. Why doesn’t the U.S. produce more of it?* (February 28, 2025), [Foodprint](#) (accessed April 12, 2026).

¹¹ Richard Mariani, *Texas Olive Industry Struggles after 2021 Freeze*, (October 30, 2025), [San Antonio Express-News](#), and Texas Olive Ranch, *Our 2025 Climate Brief*, [TexasOliveOilRanch.com](#), (accessed April 15, 2026).

[least 500,000 acres](#) of existing southern Central Valley cropland likely will need to be taken out of irrigated production.¹²

b. U.S. Production has not Scaled in Proportion to Rising Demand or Prices.

As evidence that the constraints on production growth reflect structural agro-climate conditions, as consumption has risen steadily over the past 20 years, the domestic percentage share has declined rather than increased.



Source: International Olive Council.

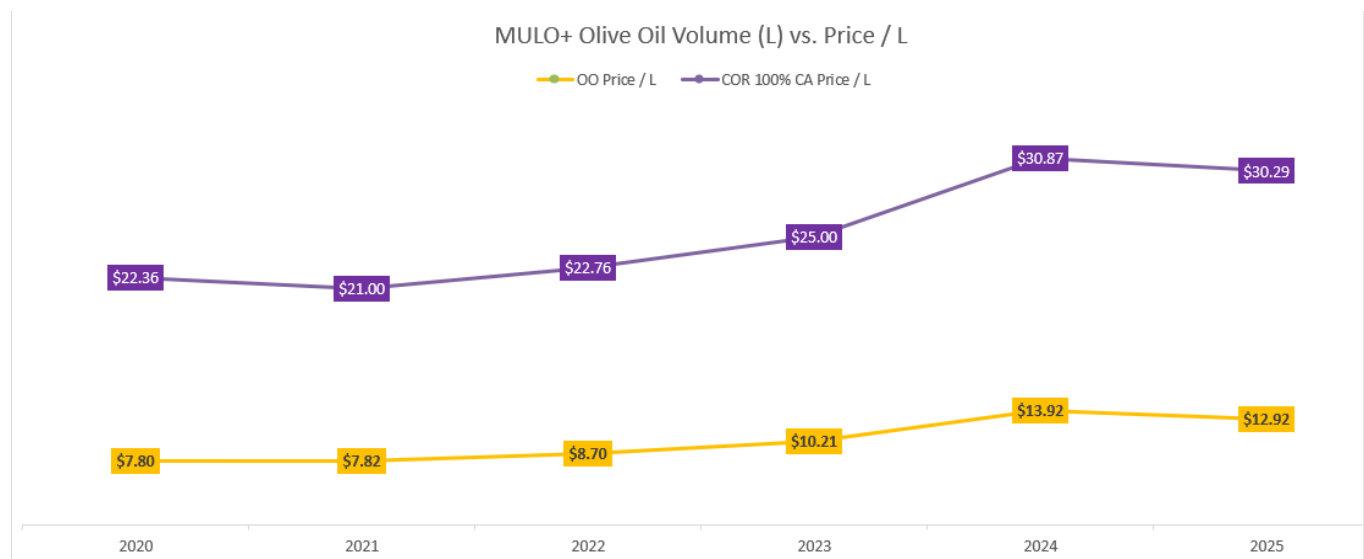
Similarly, global olive oil prices have risen substantially over the past dozen years, including recent record highs resulting from production challenges from 2022-2024. While U.S. consumption increased by around 33% since 2014, U.S. retail olive oil prices have roughly doubled over the same period, as reflected in USDA Economic Research Service food price data

¹² Spencer Cole, et al., *Fact Sheet, 2024, Agricultural Land Use in California*, available at [Public Policy Institute of California](#) (accessed April 12, 2026)

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and industry reporting. Under ordinary market conditions, sustained price increases would be expected to induce domestic supply expansion.

While there was no expansion in domestic production over that period, domestic prices expanded substantially even though there was no significant drop in production. Between 2022 and 2024, total average olive oil prices in the U.S. climbed as much as 60% due to the impact of severe drought and high temperatures in the Mediterranean that decimated supply from that region. Yet between 2021 and 2024, California Olive Ranch raised its prices on its “100% California” olive oil products a whopping 47%.



Source: Circana (multi-unit outlets including Costco and Amazon)

Further, in 2025, with supply issues from the Mediterranean resolved, total average olive oil prices dropped—although only by 7% because of the impact of 10-25% tariffs that were imposed under IEEPA. California Olive Ranch also dropped its prices on its 100% California oil, but only less than 2%, seeming to take advantage of the tariff situation to increase profits at the expense of their consumers prior to the sale of its business to the Australian-owned Cobram Estates Olives, Ltd.

This sustained divergence between rising prices and stagnant production confirms that **supply is not price-elastic** and cannot be materially influenced by tariffs. As a result, olive oil tariffs cannot serve a protective or corrective function.

B. Tariffs on Olive Oil Conflict Directly with U.S. Public-Health Policy

Even if olive oil were not an unavailable natural resource, tariffs would still be inconsistent with U.S. policy because the federal government has **affirmatively encouraged increased olive oil consumption** as a matter of its national health strategy. Trade measures that raise the cost of federally encouraged foods function at cross-purposes with these objectives.

1. Dietary Guidelines for Americans (2025–2030)

The DGAs, issued jointly by USDA and HHS, form the foundation of federal nutrition policy and guide federal food programs nationwide. The current DGAs instruct consumers that “[w]hen cooking with or adding fats to meals, prioritize oils with essential fatty acids, such as olive oil.”¹⁴ The USDA press release announcing the new DGAs, “Kennedy, Rollins Unveil Historic Reset of U.S. Nutrition Policy, Put Real Food Back at Center of Health,” included an image showing a selected portion of the new food pyramid, notably with a cruet of olive oil at its center.¹³



The new DGAs reflect a deliberate federal policy choice to promote olive oil as a preferred dietary fat in order to reduce chronic disease risk and improve population health outcomes. The

¹³ USDA Press Release, *Kennedy, Rollins Unveil Historic Reset of U.S. Nutrition Policy, Put Real Food Back at the Center of Health* (January 7, 2026) [USDA](#) (accessed April 12, 2026).

White House is working across multiple agencies to align federal nutrition policies and programs with the new DGAs.

2. FDA’s Updated Definition of “Healthy” for Nutrient Content Claims

The policy choice to promote olive oil in the DGA follows the FDA’s update to its regulations for “healthy” nutrient content claims to align with current nutrition science and federal dietary guidance. Under the updated rule, olive oil is expressly recognized as eligible for a “healthy” claim, reinforcing its role as a federally endorsed healthy food.⁵ This also further supported by the existence since 2004 of an FDA approved qualified health claim for the consumption of olive oil in place of other less healthy fats.¹⁴

3. Healthy People 2030 Initiative

Healthy People 2030, led by HHS, establishes national objectives to reduce diet-related chronic disease and promote healthier dietary patterns. The initiative relies on alignment with the DGAs and emphasizes increased consumption of healthier fats as part of a whole-diet approach.⁶ Healthy People 2030 promotes dietary patterns that include oils and explicitly encourages replacing saturated fat with unsaturated fat—an objective directly aligned with increased consumption of oils such as olive oil.

4. Consumer and Distributional Impacts

Tariffs that increase the price of olive oil directly will undermine the effectiveness of the articulated U.S. health policy by discouraging consumption and raise concerns among consumers.

a. Higher Prices Disproportionately Impacts the Accessibility of Olive Oil to Lower Income Households

Recent data show the effect price increases can have on the olive oil market. Two years ago, following two consecutive years of poor harvests, U.S. consumer prices for olive oil increased 30% between 2023 and 2024. How did that impact consumption? According to Nielsen, in 2024, 2 million fewer U.S. households bought olive oil than the year before. Nearly all of those who stopped buying olive oil were families earning less than \$100,000 per year.

Higher olive oil prices resulting from olive oil tariffs will thus disproportionately reduce consumption among lower- and middle-income households—the very populations whose health

¹⁴ U.S. Dept. Health and Human Services, *Letter Responding to Health Claim Petition dated August 28, 2003: Monounsaturated Fatty Acids from Olive Oil and Coronary Heart Disease* (Docket No 2003Q-0559) (November 1, 2004), [FDA](#) (accessed April 12, 2026).

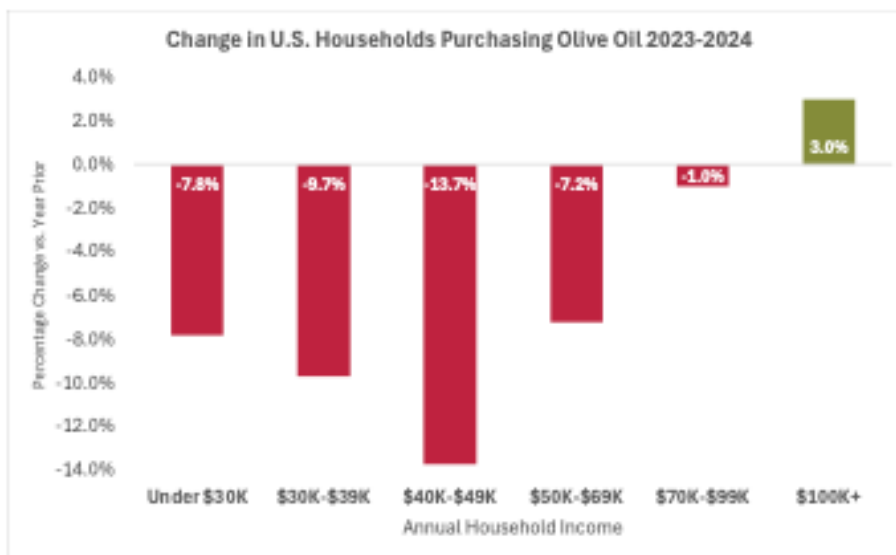
outcomes stand to benefit most from the dietary improvements the DGAs are designed to promote.

Higher Olive Oil Prices Disproportionately Impact Average-Income American Families

2024 price increases due to inflation and temporary drought-caused shortages led to a major drop in olive oil use among average American households.

↑ 25% = **↓ 1.9M**
increase in olive oil price fewer households using olive oil

Nearly all the decline came from households earning less than the median household income of \$83,000/year.



Source: Nielsen Panel on Demand. Thru 52W ending 12-28-24

b. A Majority of Americans are Concerned that Tariffs on Olive oil Make it Harder for them to Afford Olive Oil

This month a random survey was taken of 1,000 adults. Among the questions asked was, “How concerned are you that tariffs on imported olive oil make it harder for you and your family to afford this healthy food?” Nearly two in three Americans said that they were concerned, and more than a quarter said they were very concerned. Given that, according to Nielsen data, only

approximately 50% of American households actively purchase olive oil, and that the survey respondents were not filtered between those who use olive oil and those who do not, this an overwhelming number.

Furthermore, this concern bridges party lines, income levels, regions, and factors across the demographic spectrum. Families feel the squeeze the hardest. Nearly three-quarters of married people with kids are concerned — 83% among urban moms.

There's also significant concern among non-White voters (66%) and Hispanics in particular (68%), as well as younger voters (68% among ages 18-44) and higher-educated women (68%). There is also concern among the people who can least afford it: 68% of women earning under \$75K are concerned, with the highest "very concerned" intensity of any income group. But even \$100K+ households are at 61%.

From this data it seems that in fact Americans value olive oil—even those that haven't begun to purchase it for themselves. Thus, a regressive tax on healthy eating, whether it is actual or potential, will be very concerning to many Americans.

c. The U.S. needs to encourage more investment in olive oil production not less.

It is also worth noting that companies from other olive-growing countries, particularly from the E.U., have played a major role in developing the U.S. domestic industry. The largest U.S. producer brand, California Olive Ranch, was founded in 1998 by a Spanish industrial family that invested millions to purchase land, plant orchards, and build an olive mill. Since then, it has been acquired by Cobram Estate Olives, Ltd, an Australian-owned company that now controls about two-thirds of all domestic production.

Since the founding of California Olive Ranch, NAOOA members with headquarters in the E.U. have invested close to \$250 million in the domestic olive oil industry in olive oil production, manufacturing, and distribution in the U.S.:

- Pompeian (America's leading brand), founded in Baltimore over 100 years ago but partly owned by Spanish co-op DCOOP, has invested \$60 million in the past ten years on a storage tank farm, bottling lines, and a distribution center, as well as innovation/R&D and a new IT/ERP system;
- Sunrise, an affiliate of Pompeian with Moroccan backing, has invested \$25 million in acquiring 1,000 acres in California to produce olives and extract olive oil and is today the third largest producer in the U.S.;
- Acesur, a Spanish company, since 2021 has invested \$23 million in opening a manufacturing facility in Virginia with another \$10 million in progress, and has invested another \$12 million in land leases to produce olives for olive oil in Northern California;
- Certified Origins, an Italian company, invested \$42 million in the past three years, opening a bottling plant and storage facility also in Virginia;

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- Sovena USA, owned primarily by Portuguese stakeholders, has invested \$32.1 million in building construction, installing lines and infrastructure in both California and New York plus an additional \$1.7 million on vehicular purchase over the past ten years; and
- Colavita USA has invested more than \$35 million over the past ten years in building construction, bottling and packaging equipment and infrastructure in both New Jersey and California, as well a recent brand acquisition (“O” brand) to further diversify the company’s manufacturing footprint and sourcing platform in California for olive oil and other U.S.-grown commodities. Colavita has is also planning in the next few years to acquire additional property and make further plant investments for expansion in both California and New Jersey where the company is currently constructing a second bottling plant.

Through such investments, these companies (all NAOOA members) and others who import and distribute olive oil are also responsible for creating thousands of jobs around the country within olive oil companies and those providing ancillary services. Of the 55 member companies who responded to our NAOOA’s member census in 2025, 17 companies have between 10 and 50 employees, and 15 companies have more than 50, with the balance employing between 1-and 10.

VI. Conclusion

The factual and policy record establishes that:

- A. Olive oil constitutes an **unavailable natural resource** in the United States, with domestic production supplying less than 2 percent of consumption and structurally incapable of scaling due to climate and land constraints; and
- B. The U.S. government has **actively promoted increased olive oil consumption** through binding dietary guidance, FDA food-labeling policy, and national health initiatives.

Under these circumstances, tariffs on olive oil cannot advance the remedial goals of Section 301 and instead conflict with core federal objectives. Olive oil should therefore be excluded from any tariff measures.

Respectfully submitted,



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